

Offer Analysis and Recommendation — Passatge d'Alió (ref. ONB2602004)

Executive summary

The property is listed at **€495,000**. My recommendation is to make a **firm offer of €435,000** (12% below asking), with a realistic goal of **closing between €450,000 and €460,000**. The reasoning: the price per square metre is high for the area and, above all, this is the **last unit in the development**, which puts time and selling pressure on the buyer's side.

The property

- **Location:** Passatge d'Alió, next to Passeig de Sant Joan (Dreta de l'Eixample, Barcelona) — one of the most sought-after areas of the city.
 - **Type:** comprehensive rehabilitation of an 1884 building (original façade, beams and stone walls preserved). Not ground-up new construction, but a high-quality renovation.
 - **Features:** 54 m², furniture included, high-end finishes.
 - **Development:** only 5 homes in total; **this is the last one available**.
 - **Time on market:** approximately **two months**.
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Why €435,000 is a reasonable offer (not a lowball)

1. The price per m² is above market

- $€495,000 \div 54 \text{ m}^2 = \text{€9,170/m}^2$.
- **Asking** prices in Dreta de l'Eixample: ~€8,200–8,800/m² (this unit already starts above the high end).
- **Actual registered closing** prices in the area: ~€6,700/m².
- Even accepting a reasonable premium for the renovation, quality, and furniture, **€9,170/m² is expensive**. After dropping to €435,000, you'd still pay ~€8,060/m², still at the top.

2. It's the last unit → maximum negotiating leverage

In new-build and renovated developments, **the fewer homes remain, the more room the developer gives**: they want to sell 100% to close out the development, free up financing, and stop carrying the unit. That it's the last one — and the smallest (often why it's last) — strengthens our position.

3. It's been unsold for two months

Not an extreme-urgency situation (premium product in Barcelona can take 3–6 months), but **two months on the last unit confirms the pressure is on the seller's side, not the buyer's**. We can afford to wait; they increasingly can't.

4. We are a strong buyer

- Pre-approved financing.
- Ability to complete quickly.
- This is highly valuable to a developer who wants to close: a fast, certain buyer is worth more than waiting for an uncertain higher bidder.

Negotiation strategy

Step	Action
Opening offer	€435,000 (–12%)
Target close	€450,000 – 460,000
Maximum price (ceiling)	€470,000 — walk away above €475,000
Patience	Don't raise the offer quickly. Silence and time work in our favour.

If there's little room on price, negotiate value through other means, in this order: 1. Have the developer **absorb the purchase taxes/fees** (AJD or ITP). 2. Parking space or storage room included, if available. 3. (Furniture is already included — it shouldn't be used as a "bonus" to justify the price.)

Tax point to confirm (important for total cost)

Since this is a **rehabilitation**, you must confirm with the agent how the sale is taxed, because it changes the final cost:

- **VAT (10%) + AJD (1.5%)** → typical for new construction / first transfer after comprehensive rehabilitation.
- **ITP (~10–11% in Catalonia)** → if treated as a second transfer.

Exact question for the agent: *"Does the sale pay VAT + AJD, or ITP?"*

On a close-out unit like this, the developer may even be willing to **absorb that tax** as a way of conceding without dropping the advertised price. Worth putting on the table.

Present-day cost of the purchase (present value, 25 years)

Even though selling recovers the property's value, the purchase has a real economic cost. Assuming a **25-year fully amortized mortgage** and selling the home after 25 years:

Assumptions:

- Purchase price: €455,000 (expected close)
- Down payment (20%): €91,000 · Mortgage: €364,000 over 25 years, fixed 3%
- Purchase taxes and fees: 13% = €59,150
- Ownership costs: ~€5,000/yr (IBI, community fees, insurance, maintenance)
- Selling costs: ~4% · Inflation: 2% · Real discount rate: 2%

If sold at the same real value (no appreciation):

Item	Present value
Down payment	+€91,000
Purchase taxes and fees	+€59,150
Mortgage payments (PV)	+€323,600
Ownership costs, 25 years (PV)	+€97,600
Selling costs (PV)	+€11,200
(–) Sale at same real value (PV)	–€278,000
Net present cost	≈ €305,000

The cost isn't "zero" despite recovering the real value, for three reasons: the **purchase taxes** (~€59,000), the **25 years of ownership costs** (~€98,000), and the **opportunity cost of the capital** tied up.

Real cost factoring in historical appreciation

The key: appreciation applies to the **whole home** (€455,000), while she only puts in €91,000 of capital and finances the rest at 3%. Leverage works in her favour.

Barcelona historical data: over the last decade prices rose **+61.5% nominal** (~4.9%/yr, ~3% real), more than double inflation. Over the long run, through full cycles (including the 2008–2014 crisis, ~–40%), a prudent central scenario is **~4% nominal (~2% real)**.

Appreciation (nominal / real)	Sale price in 25 yr	Net present cost
2% / 0% — flat real value	€747,000	≈ €305,000 (cost)
3% / ~1% — conservative	€953,000	≈ €228,000 (cost)
4% / ~2% — central	€1.21M	≈ €135,000 (cost)
5% / ~3% — Barcelona's historical pace	€1.54M	≈ €15,000 (break-even)

Appreciation (nominal / real)	Sale price in 25 yr	Net present cost
6% / ~4% — optimistic	€1.95M	≈ -€132,000 (net gain)

Read: at Barcelona's actual historical pace (~5% nominal), 25 years of ownership comes out essentially **free** in present-value terms — appreciation covers taxes, interest, and costs. At a more prudent 4%, the real cost is ~€135,000 (vs. €305,000 with no appreciation).

Two factors that can change it:

1. **Cycle risk.** The ~5% is an average that includes a ~40% drop (2008–2014). Buying high and selling at a trough would yield much less; 25 years smooths the risk but doesn't eliminate it.
 2. **Capital gains tax (IRPF).** The tables assume the **primary-residence exemption** (sale from age 65, or reinvestment in another primary home → €0). If there's **no** exemption, the nominal gain is taxed at ~26–28%: in the central case it adds ~€65,000; at Barcelona pace, ~€90,000–100,000.
- Worth confirming the exit plan** (live in it long-term / reinvest): it's worth €60,000–100,000.

Conclusion: with no appreciation the real cost is ~€300,000; with Barcelona's historical appreciation the deal approaches break-even or generates a gain. The cheap, leveraged mortgage means even moderate appreciation greatly improves the outcome versus the apparent "cost".

Buy vs. rent (25 years, present value)

Renting is a 100% sunk cost, but avoids purchase taxes, IBI, community fees, and maintenance. For an equivalent 54 m² flat — furnished, high quality, with a terrace, in Dreta de l'Eixample (~€1,300–1,900/month):

Equivalent rent	PV of 25 years (real, 2% discount)
€1,300/mo (low)	≈ €305,000
€1,600/mo (central)	≈ €375,000
€1,900/mo (high)	≈ €445,000

Buying (from the analysis above): no appreciation ≈ €305,000 cost; central case (2% real, CGT-exempt) ≈ €135,000 cost.

	Rent low €305k	Rent central €375k	Rent high €445k
Buy, no appreciation (€305k)	break-even	buy saves ~€70k	buy saves ~€140k
Buy, central appreciation (€135k)	buy saves ~€170k	buy saves ~€240k	buy saves ~€310k

Read: buying wins in almost every case, and clearly so once you assume any appreciation. Only the worst case for buying — no appreciation and cheap rent — is a tie.

Important caveats:

- **Horizon.** The ~13% purchase taxes only amortize over long holds. Under ~6–7 years, renting wins. This analysis assumes long-term residence (or renting the property out).

- **Return on freed-up capital.** Renting frees ~€150,000 (down payment + taxes). At 2% real it's already captured in the discount rate; if that capital earned more (e.g. equities ~5% real), renting narrows the gap, though the leveraged home usually still wins.
- **Non-financial.** Renting offers flexibility and liquidity; buying concentrates wealth in a single asset and a single city.

Sensitivity: how do €10,000 more or less in the final price matter?

A €10,000 change in price does **not** change the real cost by €10,000, because most of it is **principal recovered at sale**. Only the tax friction on that amount is truly lost. The impact depends almost entirely on the appreciation assumption:

Scenario	Δ real present-day cost per ±€10,000 of price
No appreciation (flat real value)	±~€4,500
Central (2% real)	±~€800
Barcelona's historical pace (~3% real)	≈ €0 (even marginally favourable)

Why so small in the realistic cases — breaking down the €10,000:

- **Purchase taxes:** $13\% \times €10,000 = €1,300$ → lost forever.
- **~€400 extra selling costs** (PV).
- **The €10,000 of principal** is recovered at sale: in full in real terms if value holds or rises; only time-discounted if value stays flat (recovering €10,000 in 25 years equals ~€6,000 today, which is why the no-appreciation case penalizes more).

The **guaranteed, unrecoverable cost of paying €10,000 more is ~€1,300–1,700** (taxes + selling friction). The rest is recovered if the market behaves.

Negotiation takeaway:

- If you believe in Barcelona appreciation, €10,000 on the final price is worth **under €1,000** of real cost → don't break the deal over it.
- If skeptical of appreciation, each €10,000 is worth **~€4,000–5,000** of real cost → push harder.
- Tax note: if the gain is taxable (no exemption), a higher purchase price **raises the cost basis** and reduces the future taxable gain, recovering ~26–28% of that €10,000 at sale.

Caveat: the "≈ €0 / favourable" result assumes future appreciation is independent of the price paid today. Overpaying does **not** guarantee the same exit price; the honest planning figure is the central one (~€800).

Draft message to the agent (Spanish)

Subject: Oferta vivienda Passatge d'Alió (ref. ONB2602004)

Buenos días,

Le escribo en relación con la última vivienda disponible de la promoción de Passatge d'Alió (ref. ONB2602004), de 54 m² y con el mobiliario incluido. He estado siguiendo la promoción y me gustaría presentar una oferta en firme.

Tras analizarlo con detalle, mi oferta es de **435.000 €**.

Le expongo el razonamiento, con ánimo constructivo y de cerrar la operación:

- El precio actual (495.000 €) equivale a unos **9.170 €/m²**, por encima de la franja alta de los precios de oferta de la Dreta de l'Eixample y muy por encima de los precios reales de cierre registrados en la zona.
- Se trata de la **última unidad** de la promoción y, según tengo entendido, lleva un **par de meses** comercializándose. Entiendo que el objetivo es cerrar la comercialización al 100 %, y por mi parte puedo formalizar de inmediato: dispongo de financiación pre-aprobada y plena disponibilidad para escriturar con rapidez.

Si el precio tuviera poco recorrido, estaría dispuesto a acercarme a cambio de que el promotor **asuma los gastos e impuestos de la compraventa** (AJD o ITP, según corresponda) y de que se incluya **plaza de aparcamiento o trastero**, si la promoción contara con ellos.

Aprovecho para confirmar un punto fiscal relevante para el cálculo del coste total: **¿la compraventa tributa por IVA (10 %) más AJD (1,5 %) o por ITP**, al tratarse de una rehabilitación?

Quedo a su disposición para concretar los detalles. Agradezco de antemano su respuesta.

Un cordial saludo,

Counter-offer playbook (by agent response)

Principles: stay calm, don't raise quickly, use time as leverage (last unit, two months on market). Absolute ceiling: **€470,000** price. If €475,000 isn't broken, walk away.

Scenario A — They counter near asking (€485,000–495,000)

I understand your position, but the asking price is above actual closings in the area, and this is the last unit after two months on the market. I hold my offer at **€435,000**. If it helps you close, I can rise slightly in exchange for the developer **absorbing the purchase taxes**. I await a counter that reflects the development's real situation.

(Don't name a second number yet. Let them respond.)

Scenario B — They counter mid-range (€465,000–475,000)

I appreciate the move. I can go to **€450,000** to close immediately, with financing already approved. If you prefer to keep the price somewhat higher, I'd then need you to **absorb the taxes (AJD/ITP)** and include parking/storage if available.

(Target close: €455,000–460,000. Raise in small €5,000–8,000 increments.)

Scenario C — They accept or come very close ($\leq$ €460,000)

Perfect. I confirm the firm offer of **[price]**, subject to a deposit contract (arras) and verification of the property and rehabilitation documentation. Let's proceed with the deposit.

(Always request arras penitenciales and review licenses / final works certificate before signing.)

Response on the tax regime

- **If VAT + AJD:** total cost $\approx$ price $\times$ 1.115.
- **If ITP:** total cost $\approx$ price $\times$ 1.10–1.13 depending on the Catalonia bracket.
- On a close-out unit, propose the **developer absorb that tax** as a way to concede without dropping the advertised price.

If there's no room on price

Negotiate value through other means, in this order: 1. Developer **absorbs the purchase taxes/fees**. 2. **Parking space or storage room** included, if available. 3. Upgrades or extra furniture (base furniture already included).

Closing / walk-away line (if they exceed €475,000)

I understand, but above that price the deal no longer makes sense for me given actual prices in the area. I'll leave my offer on the table in case you reconsider in the coming weeks. Thank you for your time.

(Leave the door open: on a last unit, time works in the buyer's favour.)